

Wealth Strategy Snapshot: Educational Analysis

2026 Tax Year Planning

Prepared for Marda & Joe Turman | February 2026

Educational scenario modeling for discussion with licensed professionals

Executive Summary

This analysis explores tax optimization strategies and investment concepts for the 2026 tax year, tailored to the Turman financial profile. With Joe's mandatory AA retirement on November 27, 2028, the next three years represent a critical window to maximize tax-advantaged positioning, build passive income streams, and transition wealth strategies from W-2 dependence to diversified portfolio income. The strategies outlined model how retirement accounts, real estate holdings, and investment vehicles may work together to accelerate that transition.

Based on the profile data provided, this snapshot models potential first-year value ranging from **\$108,101** (conservative scenario) to **\$273,183** (aggressive scenario including real estate optimization). These figures combine tax savings, investment income, projected appreciation, cash flow improvements, and wealth positioning across six categories. Implementation of any strategy should be verified with your CPA and licensed financial advisor.

Note: All tax savings modeled at an estimated ~36.4% combined marginal rate (32% federal + 4.4% Colorado flat rate). Verify your exact marginal rate with your CPA based on final 2026 income.

 **SECURE 2.0 Alert:** Joe earned \$300K+ FICA wages in 2025 at American Airlines. Under SECURE 2.0, his 2026 catch-up contributions (\$11,250 super catch-

up, age 63) must be designated Roth, not pre-tax. Discuss with CPA and AA payroll immediately.

 **OBBBA Update (Signed July 4, 2025):** The One Big Beautiful Bill Act made several changes affecting 2026 planning: 100% bonus depreciation permanently restored (for property acquired after Jan 19, 2025), SALT cap raised to \$40,000, Section 179 expanded to \$2.5M, TCJA individual tax rates made permanent, QBI deduction made permanent, and a new \$2,000 MFJ charitable deduction for non-itemizers. These provisions are reflected throughout this analysis.

Current Financial Position

Household Profile

Item	Detail
Filing Status	Married Filing Jointly
Ages	Joe — 62 (born 11/27/1963, turns 63 in Nov 2026) Marda — 56
Location	Loveland, Colorado
Household Income	\$400,000–\$499,000 (W-2 + business)
Primary W-2	\$300K+ — Joe, Captain at American Airlines (mandatory retirement 11/27/2028)
Self-Employment	Construction LLC + freelance music (Marda) — <\$25K combined
Estimated Marginal Rate	~36.4% combined (32% federal + 4.4% CO flat rate)
Credit Score	820
Current Debt	Mortgage only — \$226,000 @ 2.875%

Marginal rate note: With \$400K–\$499K household income MFJ and pre-tax deductions (401(k), HSA, Solo 401(k)), estimated taxable income falls in the 32% federal bracket (\$403,551–\$512,450 for 2026 MFJ per Rev. Proc. 2025-32). Colorado's flat rate is 4.4%. If taxable income falls below \$403,550, the federal marginal rate drops to 24%. Verify with CPA.

Entity Structure

ENTITY	DETAILS
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3 Colorado LLCs	Construction, rental operations, music/freelance
Wyoming Holding Co	Holding entity for CO LLCs
S-Corp Election	In progress — discuss timing with CPA for 2026 optimization

Real Estate Portfolio

PROPERTY	STATUS	FINANCING	STRATEGY
AirBnB Property (1/2-acre, R3E zoning)	Active STR	Free & clear	Plans for 3 cottage-style rental builds
Primary Home (future remodel)	Remodel pending	\$226K @ 2.875%	Primary + 2 rental units (BR/BA + garage studio)
SDIRA Property	Held in self-directed IRA	No loans	Tax-advantaged hold

Liquid Capital & Savings

ASSET	AMOUNT	NOTES
HYSA (remodel fund)	\$160,000	Currently earning ~3.8%
Fidelity Brokerage (Joe)	Actively traded	Through AA — amount TBD
Liquid Capital Available	\$100,000–\$249,000	Per intake (Q26)
Comfortable Deploying	\$50,000–\$100,000	Per intake (Q45)
Emergency Fund	4–6 months expenses	Adequate

Current Tax Strategies In Place

STRATEGY	STATUS
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Joe's AA 401(k)	✅ Maxing at \$23,500 (2025 limit) — update to \$24,500 + super catch-up for 2026
HSA	✅ Maxing out
Backdoor Roth IRA	❌ Aware but not yet utilizing
Solo 401(k)	❌ Not yet established — has SE income to qualify
Home Office	✅ Dedicated room — deduction may apply
Vehicle Deductions	Partial — F-350 (construction, 100% biz) + QX80 (75% biz)
CPA Relationship	Recently switched to Prime Corporate Services — proactive on strategy

Timeline Awareness & Implementation Considerations (2026 Planning)

These timeline items are provided for calendar awareness. Verify applicability and timing with your tax professional.

TIMEFRAME	DISCUSSION POINTS
Week 1 — Tax Cleanup	2025 IRA/HSA contributions: Discuss with CPA whether prior-year catch-up contributions (up to \$16,000 IRA, \$10,550 HSA for 2025) are beneficial before April 15, 2026. Review Joe's 2026 W-4 with AA payroll to reflect updated withholding and Roth super catch-up election (\$11,250).
Week 2 — Real Estate	Cost segregation study: Consult qualified cost seg firm for AirBnB property (free & clear). Note: If property was acquired before January 20, 2025, TCJA bonus depreciation phase-down (20% for 2026) applies rather than OBBBA's 100% rate. Future cottage builds would qualify for 100% bonus depreciation. Document STR material participation hours (750+ for REP eligibility). Discuss remodel timeline and rental unit conversion with CPA for 2026 deduction planning.
Week 3 — Retirement Accounts	Solo 401(k) for Marda: Research custodians (Fidelity, Schwab); plan must be established by Dec 31, 2026 for employee deferrals. Backdoor Roth IRA: Discuss pro-rata rule implications with CPA; consider initiating conversions for both spouses (\$8,600 each). QBI deduction: Discuss 20% qualified business income deduction eligibility for Marda's pass-through income (now permanent under OBBBA).

**Week 4 —
Investments &
Strategy**

Augusta Rule: Document fair market rental values for properties; schedule business-use days across LLCs. Vehicle logs: Begin contemporaneous mileage tracking for F-350 and QX80 (72.5¢/mile 2026). SALT cap: Review whether itemizing (\$40,000 SALT cap under OBBBA) exceeds standard deduction (\$32,200 MFJ). Investment scenario: Discuss portfolio allocation with licensed financial advisor.

These are discussion points for your professional team — not directives. Implementation requires CPA and advisor coordination.

2025 Tax Year: Remaining Opportunities (Before April 15, 2026)

2025 Strategies Still Available

The following 2025 contributions can still be made until April 15, 2026:

STRATEGY	2025 LIMIT	DEADLINE	YOUR OPPORTUNITY
Traditional / Roth IRA	\$7,000 + \$1,000 catch-up (50+)	April 15, 2026	Up to \$16,000 total (both spouses: \$8,000 × 2). Backdoor Roth if income above threshold — discuss with CPA.
HSA Contributions	\$8,550 family + \$1,000 catch-up (55+) per spouse	April 15, 2026	Verify if already maxed for 2025. Both spouses 55+ qualify for catch-up — up to \$10,550 total if HDHP enrolled.

Solo 401(k) Employer Portion	25% of net SE income (plan must already exist)	Tax filing + extensions	If Solo 401(k) was established before Dec 31, 2025, employer contributions for Marda's SE income may still be made.
SEP IRA	25% of compensation, up to \$69,000	Tax filing + extensions	Alternative if Solo 401(k) was not established for 2025. Can be opened and funded before tax filing deadline.

No Longer Available for 2025: 401(k) employee deferrals (Dec 31 deadline passed), W-4 adjustments (only affect 2026 forward), Augusta Rule rentals (must have occurred in 2025), Solo 401(k) employee contributions (Dec 31 deadline passed).

Verify 2025 contribution eligibility with your CPA. Making prior-year contributions requires careful coordination with your tax return.

2026 Tax Optimization Strategies to Explore

Strategy Concept: Short-Term Rental + Cost Segregation

Potential Value: \$14,560 – \$36,400 (Year 1 accelerated depreciation)

What It Is: Cost segregation reclassifies building components into shorter depreciation schedules (5, 7, 15 years vs. 27.5/39). Combined with STR status (average guest stay under 7 days), losses may offset active/W-2 income without REP status requirements. At a 36.4% marginal rate, accelerating \$40K–\$100K in depreciation models potential tax savings of \$14,560–\$36,400 in Year 1.

How It Works:

1. Engage a qualified cost segregation engineering firm to study the AirBnB property
2. Reclassified components generate accelerated depreciation deductions
3. STR with average stay under 7 days + material participation (100+ hours, more than anyone else) allows losses to offset W-2 income

⚠ OBBBA Bonus Depreciation Note: 100% bonus depreciation under OBBBA applies only to property *acquired and placed in service after January 19, 2025*. If the existing AirBnB property was acquired before this date, the TCJA phase-down rate of 20% applies for 2026. However, the planned cottage builds on the R3E lot would qualify for 100% bonus depreciation under OBBBA. Discuss acquisition date with your cost seg firm and CPA.

Eligibility Criteria: Property must be used as STR with average stay <7 days. Owner must materially participate. Property is free & clear — no financing complications.

Verify eligibility and implementation details with your CPA before proceeding. Real estate tax strategies have specific documentation and participation requirements. Bonus depreciation rate depends on property acquisition date. 2026 limits shown.

Strategy Concept: Joe's 401(k) Super Catch-Up (SECURE 2.0)

Potential Value: \$364 additional tax savings + \$11,250 Roth positioned

What It Is: For 2026, the employee deferral limit increases to \$24,500 (+\$1,000 from 2025). At age 63 in 2026, Joe qualifies for the SECURE 2.0 super catch-up of \$11,250 (vs. \$8,000 standard). Total potential: \$35,750. The \$1,000 increase $\times$ 36.4% = \$364 additional pre-tax savings. The \$11,250 catch-up must be Roth since Joe earned \$150K+ FICA in 2025.

How It Works:

1. Update Joe's AA 401(k) deferral to \$24,500 for 2026
2. Elect \$11,250 Roth super catch-up contribution through AA payroll
3. Verify AA plan accepts super catch-up and Roth designation — contact benefits dept

⚠ Age Window: Joe turns 63 in November 2026 and 64 in November 2027. The super catch-up (\$11,250) applies only for ages 60–63, meaning it is available in 2026 only. In 2027 and 2028, the standard catch-up (\$8,000) applies.

Eligibility Criteria: Age 60–63 in 2026 (Joe qualifies). Employer plan must accept catch-up contributions. SECURE 2.0 Roth mandate applies (\$150K+ FICA).

Verify contribution limits with your CPA. Confirm AA plan accommodates SECURE 2.0 super catch-up. 2026 limits shown.

Strategy Concept: Solo 401(k) for Marda (Construction + Music SE Income)

Potential Value: \$1,820 – \$5,460 in tax savings (based on SE income level)

What It Is: A Solo 401(k) allows self-employed individuals to contribute as both employee and employer. With Marda's SE income (<\$25K), the employee deferral of up to \$24,500 + \$8,000 catch-up (age 56) applies, plus 25% of net SE income as employer contribution. At 36.4%, deferring \$5,000–\$15,000 models potential tax savings of \$1,820–\$5,460.

How It Works:

1. Establish Solo 401(k) with custodian (Fidelity, Schwab) by December 31, 2026
2. Employee contributions by December 31, 2026; employer portion by tax filing deadline
3. Annual Form 5500-EZ if balance exceeds \$250,000

Eligibility Criteria: Self-employment income from construction LLC and/or music freelance. No full-time W-2 employees (spouse exception applies).

Verify contribution limits and eligibility with your CPA. 2026 limits shown.

Strategy Concept: Vehicle Expense Deductions (72.5¢/mile for 2026)

Potential Value: \$2,639 – \$3,959 per year

What It Is: Business mileage at 72.5¢/mile for 2026. With two vehicles — F-350 (construction, ~100% business) and QX80 (property mgmt + music, ~75% business) — estimated 10,000–15,000 combined business miles models \$7,250–\$10,875 in deductions. At 36.4%, potential tax savings of \$2,639–\$3,959. Actual vehicle expenses (insurance \$312/mo, registration \$33/mo, parking \$68/mo) may exceed standard mileage — CPA should compare both methods.

How It Works:

1. Maintain contemporaneous mileage log (date, destination, business purpose, miles)
2. Track all actual expenses as alternative calculation
3. CPA compares standard mileage vs. actual expense method annually

Eligibility Criteria: Vehicle used for business purposes. Mileage log required for audit defense.

Verify with CPA. Standard mileage rate for 2026 is 72.5¢/mile.

Strategy Concept: Augusta Rule (IRC §280A)

Potential Value: \$2,548 – \$3,567 per year

What It Is: Property owners may rent their home to their business for up to 14 days per year. Rental income is tax-free to the homeowner; the business deducts rent as an expense. At fair market value of \$500–\$700/day for 14 days = \$7,000–\$9,800 in tax-free income. The business deduction at 36.4% models potential savings of \$2,548–\$3,567.

How It Works:

1. Obtain comparable rental rate documentation (VRBO/Airbnb comps for your area)
2. Document each business-use day: meeting minutes, agendas, attendee lists
3. LLCs pay rent to personal ownership; income excluded under 14-day rule

Eligibility Criteria: Must own the property personally. Business must have legitimate use. 14-day annual limit. Fair market value documentation required.

Verify implementation details with your CPA. Documentation is critical for audit defense.

Strategy Concept: Backdoor Roth IRA (Both Spouses)

Potential Value: \$17,200 positioned in tax-free growth accounts

What It Is: High earners above Roth income limits may contribute to a Traditional IRA and immediately convert to Roth. For 2026: \$7,500 base + \$1,100 catch-up (50+) = \$8,600 per spouse $\times$ 2 = \$17,200 total. While no immediate tax deduction (non-deductible contribution), all future growth is tax-free — critical for the 3-year retirement transition.

How It Works:

1. Contribute \$8,600 each to separate Traditional IRAs (non-deductible)
2. Convert to Roth IRA promptly (minimize taxable gains in Traditional)
3. File Form 8606 with tax return to document non-deductible basis

Eligibility Criteria: Pro-rata rule applies — if either spouse has existing pre-tax IRA balances, portion of conversion may be taxable. CPA must evaluate.

Verify pro-rata rule implications and eligibility with your CPA. 2026 limits: \$7,500 + \$1,100 catch-up.

Strategy Concept: Home Office Deduction

Potential Value: \$1,092 – \$1,820 per year

What It Is: Dedicated home office space used exclusively for business qualifies for deduction. Simplified method: \$5/sq ft up to 300 sq ft = \$1,500 max. Regular method: proportionate share of mortgage interest, utilities, insurance, depreciation. With \$1,520/mo mortgage + \$512/mo utilities + \$92/mo internet, regular method may yield \$3,000–\$5,000 deduction. At 36.4%: \$1,092–\$1,820.

How It Works:

1. Measure dedicated office space; document exclusive business use
2. CPA compares simplified (\$1,500) vs. regular method
3. Maintain records of all home expenses allocated

Eligibility Criteria: Dedicated room used regularly and exclusively for business. Marda confirmed dedicated room exists. Must be for SE/business income (not W-2).

Verify with CPA. Home office deduction is available for self-employment income only.

Strategy Concept: HSA Maximization (2026 Limits)

Potential Value: \$3,913 per year in tax savings

What It Is: HSA contributions are triple-tax-advantaged: tax-deductible going in, tax-free growth, tax-free withdrawals for medical. 2026 family limit: \$8,750. Both spouses are 55+, so catch-up of \$1,000 each = \$10,750 total. At 36.4%: \$3,913 in modeled tax savings. HSA funds can be invested and used as supplemental retirement account after age 65.

How It Works:

1. Verify HDHP enrollment continues for 2026
2. Maximize contributions: \$8,750 + \$1,000 (Joe, 55+) + \$1,000 (Marda, 55+) = \$10,750
3. Consider investing HSA funds for long-term growth; pay current medical expenses out of pocket

Eligibility Criteria: Must be enrolled in High Deductible Health Plan. Cannot be enrolled in Medicare. Joe approaching 65 — HSA eligibility may change at Medicare enrollment.

Verify HDHP status and eligibility with your benefits coordinator and CPA. 2026 limits shown.

Strategy Concept: QBI Deduction (Section 199A — Permanent Under OBBBA)

Potential Value: \$910 – \$1,820 per year

What It Is: The 20% Qualified Business Income deduction allows eligible pass-through business owners to deduct up to 20% of qualified business income. With Marda's SE income of up to \$25K, a 20% deduction of \$2,500–\$5,000 at 36.4% models \$910–\$1,820 in tax savings. OBBBA made this deduction permanent (it was previously set to expire after 2025).

How It Works:

1. QBI deduction is calculated on Form 8995 or 8995-A with tax return
2. Deduction is the lesser of 20% of QBI or 20% of taxable income (before QBI deduction)
3. Income limits apply for specified service trades or businesses — construction typically qualifies

Eligibility Criteria: Pass-through business income (LLC, S-Corp, sole proprietorship). Income threshold limitations may apply above \$394,600 MFJ. At the Turmans' income level, discuss potential phase-out with CPA.

Note: Colorado requires an addback of the federal QBI deduction (HB25B-1001), so the state tax benefit does not apply. Net savings are federal only. Verify with CPA.

Primary Strategy Education: Retirement Transition & Real Estate Optimization

The 3-Year Retirement Window (2026–2028)

Joe's mandatory AA retirement at age 65 (November 2028) creates a defined planning horizon. The W-2 income currently exceeding \$300K per year provides a powerful but time-limited opportunity to maximize tax-advantaged strategies. Key educational concepts for this window:

Retirement Account Maximization Strategy

ACCOUNT	2026 CONTRIBUTION	3-YEAR TOTAL (2026–2028)	NOTES
Joe AA 401(k) — Pre-tax	\$24,500	\$73,500	Employee deferral maximum
Joe AA 401(k) — Roth Catch-Up	\$11,250	\$27,250*	Super catch-up 2026 only; standard \$8,000 in 2027–2028
Marda Solo 401(k)	\$5,000–\$15,000	\$15,000–\$45,000	Based on SE income level
HSA (Family + Catch-ups)	\$10,750	\$32,250	Triple-tax-advantaged
Backdoor Roth (Both)	\$17,200	\$51,600	Tax-free growth for retirement
Total Annual Positioning	\$68,700–\$78,700	\$199,600–\$229,600	

*Joe turns 64 in November 2027. The super catch-up (\$11,250 for ages 60–63) applies in 2026 only. Standard catch-up (\$8,000) applies in 2027 and 2028. 2027–2028 limits shown at 2026 levels for illustration; verify annually. He turns 65 in November 2028 (mandatory retirement).

Real Estate Portfolio Optimization

The existing three-property portfolio offers multiple optimization paths that may be explored with qualified professionals:

PROPERTY	CONCEPT	EDUCATIONAL POTENTIAL
AirBnB (Free & Clear)	Cost segregation study + STR material participation	Accelerated depreciation may offset W-2 income. Note: If acquired before Jan 20, 2025, TCJA phase-down bonus dep (20%) applies. Cottage development (3 units on R3E lot) would qualify for 100% bonus depreciation under OBBBA. Property's free-and-clear status simplifies analysis.
Primary Home (Remodel)	Conversion to primary + 2 rental units	Post-remodel rental units (BR/BA + garage studio) generate income. Remodel costs may include depreciable improvements for rental portions. New construction/improvements placed in service after Jan 19, 2025 qualify for 100% bonus dep. Document business vs. personal allocation carefully.
SDIRA Property	Tax-advantaged hold	Income and appreciation grow tax-deferred within SDIRA. Prohibited transaction rules apply — no personal use, no self-dealing. Discuss RMD timing with advisor.

Construction Company Consideration: Joe and Marda's construction LLC handles their own remodels and occasional outside jobs. Post-retirement, this business may scale significantly. Discuss with CPA: S-Corp election timing, reasonable compensation requirements, and how construction income interacts with the real estate strategies above. QBI deduction (now permanent under OBBBA) applies to qualifying pass-through income.

Real estate tax strategies have specific documentation and participation requirements. Work with a qualified tax professional to ensure compliance. These scenarios are for educational illustration.

Illustrative Portfolio Scenario

Educational Investment Scenario (Based on Profile Analysis)

Profile Inputs: Moderate risk tolerance (Q41) · Goals include passive income to replace W-2 salary + diversified growth (Q46) · 15+ hours/week available (Q44) · \$50K–\$100K comfortable deploying (Q45), \$100K–\$249K liquid capital (Q26). This profile suggests a balanced approach emphasizing passive income generation with growth potential to support the retirement transition timeline.

ASSET CLASS	SCENARIO %	CONSERVATIVE (\$75,000)	AGGRESSIVE (\$175,000)	EDUCATIONAL RATIONALE
Bitcoin	50%	\$37,500	\$87,500	Bitcoin serves as a wealth accumulation vehicle due to its fixed 21M supply and increasing institutional adoption. Core growth component for the 3-year accumulation window.
STRC	30%	\$22,500	\$52,500	STRC is commonly used by investors seeking passive income with Bitcoin correlation, providing approximately 10–12% annual yield. Directly

				supports W-2 replacement income goal.
VTI / VOO	20%	\$15,000	\$35,000	VTI provides broad U.S. equity exposure at low cost (0.03% expense ratio). VOO tracks the S&P 500. Offers stability and diversification alongside crypto-correlated holdings.

This scenario models one approach based on the moderate profile and income-replacement goals indicated. The 50% Bitcoin allocation reflects balanced growth orientation; the 30% STRC allocation prioritizes the stated goal of building passive income to replace Joe's W-2 salary by 2028. Specific investment decisions should be made in consultation with a licensed financial advisor who understands your complete situation.

These scenarios are for educational illustration. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile. Verify current STRC yield at time of investment. Historical yields shown are not guaranteed. Past performance does not guarantee future results.

Modeled First-Year Value Summary (2026 Tax Year)

Capital Deployment: Conservative = \$75,000 (Q45 midpoint) | Aggressive = \$175,000 (Q26 midpoint) | Marginal Rate: ~36.4% (32% federal + 4.4% CO)

CATEGORY	ITEM	CONSERVATIVE	AGGRESSIVE	NOTES
CATEGORY A: TAX OPTIMIZATION STRATEGIES				
Tax	Joe's 401(k) Increase (\$1K new deferral × 36.4%)	\$364	\$364	Updated to 2026 limit of \$24,500
Tax	Marda Solo 401(k) (SE income deferred × 36.4%)	\$1,820	\$5,460	\$5K–\$15K deferred depending on SE income
Tax	HSA Maximization (\$10,750 × 36.4%)	\$3,913	\$3,913	2026: \$8,750 family + \$1,000 each catch-up (55+)
Tax	Augusta Rule (14 days × \$500–\$700/day × 36.4%)	\$2,548	\$3,567	Tax-free income to homeowner; biz deduction
Tax	Home Office Deduction (\$3K–\$5K × 36.4%)	\$1,092	\$1,820	Dedicated room confirmed; CPA compares methods

Tax	Vehicle Deductions (72.5¢/mi × 10K–15K mi × 36.4%)	\$2,639	\$3,959	F-350 (100% biz) + QX80 (75% biz)
Tax	STR + Cost Segregation (AirBnB property)	\$0	\$36,400	Conservative excludes; aggressive models ~\$100K accel. depr. (bonus dep rate TBD by acquisition date)
Tax Optimization Subtotal		\$12,376	\$55,483	
CATEGORY B: INVESTMENT INCOME (Yield / Dividends)				
Income	STRC Yield ($\$22,500 \times 10\%$ / $\$52,500 \times 12\%$)	\$2,250	\$6,300	Verify current yield at time of investment
Income	VTI/VOO Dividends ($\$15,000 \times 1.5\%$ / $\$35,000 \times 2\%$)	\$225	\$700	Broad market dividend yield
Investment Income Subtotal		\$2,475	\$7,000	
CATEGORY C: INVESTMENT APPRECIATION (Projected Growth)				
Growth	Bitcoin ($\$37,500 \times 25\%$ / $\$87,500 \times 50\%$)	\$9,375	\$43,750	Highly volatile — not guaranteed

Growth	STRC (\$22,500 × 15% / \$52,500 × 30%)	\$3,375	\$15,750	Bitcoin- correlated appreciation
Growth	VTI/VOO (\$15,000 × 8% / \$35,000 × 12%)	\$1,200	\$4,200	Historical equity market returns
Appreciation Subtotal		\$13,950	\$63,700	

CATEGORY D: REAL ESTATE (Existing Properties — Aggressive Only)

RE	STR Annual Cash Flow (AirBnB NOI)	\$0	\$30,000	After expenses; market & occupancy dependent
RE	Property Appreciation (4.5% of ~\$400K)	\$0	\$18,000	Loveland CO market — not guaranteed
RE	Primary Mortgage Paydown (\$226K @ 2.875%, Yr 1)	\$0	\$4,500	Equity build through amortization
Real Estate Subtotal		\$0	\$52,500	Conservative = no RE optimization modeled

CATEGORY E: CASH FLOW IMPROVEMENTS

Cash Flow	W-4 Optimization	\$3,600	\$6,000	\$300— \$500/month
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	(reduce overwithholding)			additional take-home
Cash Flow Subtotal		\$3,600	\$6,000	
CATEGORY F: WEALTH BUILDING (Dollars Positioned)				
Wealth	Joe AA 401(k) (pre-tax \$24,500 + Roth catch-up \$11,250)	\$35,750	\$35,750	Super catch- up (age 63 in 2026); Roth mandate applies
Wealth	Marda Solo 401(k) (employee + employer)	\$5,000	\$15,000	Based on SE income range
Wealth	HSA Contributions (family + both catch-ups)	\$10,750	\$10,750	Triple-tax- advantaged; investable
Wealth	Backdoor Roth IRA (both spouses \$8,600 × 2)	\$17,200	\$17,200	Tax-free growth for retirement
Wealth	Augusta Rule Income Received	\$7,000	\$9,800	Tax-free under 14-day rule
Wealth Building Subtotal		\$75,700	\$88,500	
TOTAL FIRST-YEAR VALUE (2026)		\$108,101	\$273,183	

Important Context: Projected values are illustrative estimates for the 2026 tax year based on assumptions stated. Tax savings calculated at ~36.4% combined marginal rate (32% federal + 4.4% CO per Rev. Proc. 2025-32); verify your exact

rate with CPA. Investment appreciation is based on modeled rates and is not guaranteed — past performance does not guarantee future results. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile. Real estate projections depend on market conditions, occupancy, and expenses. Consult with your licensed professionals before implementation.

Calendar Awareness & Key Dates (2026)

DATE	ITEM	CATEGORY
April 15, 2026	Last day for 2025 IRA contributions (\$8,000 per spouse) and HSA contributions (\$10,550 family)	2025 Cleanup
April 15, 2026	2025 tax filing deadline (or extension) — Solo 401(k) employer contributions due	2025 Cleanup
Q1–Q2 2026	Cost segregation study engagement window for AirBnB property; confirm acquisition date for bonus dep rate	Real Estate
Ongoing 2026	Document STR material participation hours (target 100+ hours, more than anyone else)	Real Estate
Ongoing 2026	Contemporaneous mileage logs for F-350 and QX80	Vehicles
Throughout 2026	Schedule and document Augusta Rule business-use days (up to 14)	Augusta Rule
Oct 15, 2026	Extended 2025 tax filing deadline — final for Solo 401(k)/SEP employer contributions	2025 Cleanup
Dec 31, 2026	Solo 401(k) establishment deadline for 2026 employee deferrals (Marda)	Retirement
Dec 31, 2026	All 2026 employee 401(k) contributions must be made (Joe AA + Marda Solo)	Retirement
Dec 31, 2026	Backdoor Roth IRA conversions — complete before year-end for clean 2026 treatment	Retirement
April 15, 2027	Last day for 2026 IRA/HSA contributions; Solo 401(k) employer portion due	Future Planning

Nov 27, 2027	Joe turns 64 — super catch-up no longer available; standard catch-up (\$8,000) for 2028	Retirement
Nov 27, 2028	Joe's mandatory AA retirement (age 65) — end of W-2 income planning window	Retirement

Verify all deadlines with your tax professional. Some deadlines may shift if they fall on weekends or holidays.

Questions for Your Professional Team

CPA: "Based on our combined income (~\$400K–\$499K MFJ) and ages (Joe 62/63, Marda 56), what are our maximum 2026 retirement contributions across Joe's AA 401(k), a potential Solo 401(k) for Marda, HSA, and Backdoor Roth?"

CPA: "Does Joe's 2026 catch-up contribution need to be Roth under SECURE 2.0? His 2025 FICA wages exceeded \$150,000. Does AA's plan accommodate the \$11,250 super catch-up for ages 60–63? And can you confirm his super catch-up eligibility — he turns 64 in November 2027, so this is his last year, correct?"

CPA: "Can we still make 2025 IRA and HSA contributions before April 15, 2026? What amounts remain available? Should we pursue a SEP IRA for Marda's 2025 SE income?"

CPA: "Is a cost segregation study advisable for our AirBnB property? When was it acquired — before or after January 20, 2025? This determines whether OBBBA 100% bonus depreciation or the TCJA 20% rate applies. With average stays under 7 days and material participation, can the accelerated depreciation offset Joe's W-2 income?"

CPA: "Does Marda's construction/music income qualify for the QBI deduction (Section 199A, now permanent under OBBBA)? Colorado requires the QBI addback — does this eliminate the state benefit entirely?"

CPA: "With the OBBBA SALT cap increase to \$40,000 — should we compare itemized deductions (SALT + mortgage interest + charitable) against the \$32,200 standard deduction for 2026? Could itemizing save us more?"

CPA: "For the Augusta Rule — what fair market rental rate documentation do you need? Can all three LLCs use business rental days, or is it limited?"

CPA: "With the primary home remodel adding two rental units (BR/BA + garage studio), how should we allocate remodel costs between personal and rental use for depreciation? New improvements placed in service after Jan 19, 2025 would qualify for 100% bonus depreciation under OBBBA, correct?"

CPA: "For vehicle deductions — should we use standard mileage (72.5¢/mile for 2026) or actual expense method for the F-350 and QX80? The F-350 is 100% business, QX80 approximately 75%."

CPA: "What is our actual 2026 marginal federal tax rate? We've estimated 32% + 4.4% CO = 36.4%, but this depends on final income and deductions."

ATTORNEY: "Is our entity structure (3 CO LLCs + WY Holding Co) optimized for asset protection and tax efficiency? Should the S-Corp election be finalized for 2026?"

ADVISOR: "Given Joe's 3-year retirement window, how should we think about portfolio allocation across our \$160K HYSA, Fidelity brokerage, and new investment capital? What's the right balance between growth and income generation?"

ADVISOR: "Can you model our post-2028 income picture? We need to understand what passive income streams (rentals, investments, Social Security) look like after Joe's AA salary ends."

Professional Team Coordination

PROFESSIONAL	ROLE IN THIS PLAN	KEY TOPICS
CPA / Tax Professional (Prime Corporate Services)	Verify eligibility for all tax strategies; calculate exact contribution limits; file required forms; coordinate 2025 cleanup contributions	Cost segregation + OBBBA bonus dep rate, Solo 401(k) setup, SECURE 2.0 Roth mandate, Augusta Rule documentation, S-Corp election, vehicle method comparison, 2025 prior-year contributions, QBI deduction eligibility, SALT cap analysis (\$40K under OBBBA), marginal rate verification
Attorney / Estate Planner	Entity structure review; asset protection optimization; estate planning for 3-property portfolio	WY Holding Co structure, LLC operating agreements, SDIRA compliance, estate plan updates for retirement transition, cottage development entity. Note: 2026 estate tax exclusion increased to \$15M under OBBBA.
Licensed Financial Advisor	Investment allocation implementation; retirement income projection; Social Security timing	Portfolio construction, risk assessment, income replacement modeling (post-2028), Fidelity brokerage optimization, HYSA redeployment timing
Cost Segregation Engineer	Property study for accelerated depreciation	AirBnB property analysis (confirm acquisition date for bonus dep rate), component reclassification, cottage build planning (100% bonus dep under OBBBA), primary home rental unit allocation (post-remodel)

Insurance Professional	HDHP/HSA eligibility verification; rental property coverage; umbrella policy review	HSA eligibility as Joe approaches Medicare, STR liability coverage, construction LLC coverage, umbrella policy for 3-property portfolio
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Milestone Considerations & Review Checkpoints

TIMEFRAME	MILESTONE	REVIEW CONSIDERATION
Q1 2026	2025 Tax Cleanup Complete	Confirm all 2025 prior-year contributions made before April 15. Review 2025 tax return for optimization opportunities. File Form 8606 if Backdoor Roth executed.
Q2 2026	2026 Strategy Implementation	Cost seg study engaged (confirm acquisition date for bonus dep). Solo 401(k) custodian selected. W-4 updated. Mileage logging active. Augusta Rule days scheduled. SALT cap itemization analysis completed. Investment allocation discussed with advisor.
Q3 2026	Mid-Year Review	Verify Joe's payroll reflects 2026 deferral + Roth super catch-up. Review STR material participation hours tracking. Assess investment performance vs. scenario models.
Q4 2026	Year-End Optimization	Solo 401(k) employee contributions by Dec 31. Backdoor Roth conversions complete. Tax-loss harvesting review. Confirm all documentation for Augusta Rule, home office, vehicles.
Q1 2027	Year 2 Planning	Review 2026 results vs. modeled values. Adjust 2027 strategies. Note: Joe's super catch-up ends — standard \$8,000 catch-up for 2027. Evaluate cottage development

timeline. Update retirement income projection (2 years to Joe's retirement).

2028	Retirement Transition Year	Joe's final W-2 year (through Nov). Social Security analysis. Income replacement assessment. Possible construction business scale-up. Medicare enrollment considerations. HSA contribution eligibility review.
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These milestones are planning considerations, not requirements. Actual implementation timing should be coordinated with your professional team based on your specific circumstances.

Educational Resources & Reference

2026 Contribution Limits Quick Reference

ACCOUNT TYPE	BASE LIMIT	CATCH-UP (50+)	SUPER CATCH-UP (60–63)	YOUR HOUSEHOLD
401(k) Employee Deferral	\$24,500	+\$8,000	+\$11,250	Joe: \$24,500 + \$11,250 (age 63 in 2026)
401(k) Total (Emp + Employer)	\$72,000	+\$8,000	+\$11,250	Joe limited by AA plan; Marda by SE income
HSA (Family Coverage)	\$8,750	+\$1,000 (55+)	N/A	\$8,750 + \$1,000 (Joe) + \$1,000 (Marda) = \$10,750
Traditional / Roth IRA	\$7,500	+\$1,100	N/A	\$8,600 × 2 spouses = \$17,200 (Backdoor Roth)
Business Mileage Rate	72.5¢ per mile			F-350 + QX80

SECURE 2.0 Key Provisions (Effective 2026)

PROVISION	DETAIL	IMPACT ON TURMAN HOUSEHOLD
Super Catch-Up (Ages 60–63)	\$11,250 catch-up vs. \$8,000 standard	Joe qualifies in 2026 only (turns 63). Turns 64 in Nov 2027 → standard catch-up applies 2027–2028.

Roth Catch-Up Mandate	\$150K+ FICA earners must make catch-ups as Roth	Joe's \$300K+ W-2 triggers this. The \$11,250 must be Roth designated.
Employer Roth Contributions	Employers may offer Roth matching/profit sharing	Check if AA offers Roth employer contributions — new option.

OBBBA Key Provisions (Signed July 4, 2025)

PROVISION	DETAIL	IMPACT ON TURMAN HOUSEHOLD
100% Bonus Depreciation (Permanent)	For property acquired and placed in service after Jan 19, 2025	Applies to future cottage builds and remodel improvements. Existing AirBnB subject to TCJA phase-down if acquired earlier.
SALT Cap Raised to \$40,000	Up from \$10,000	CO income tax (~\$18K-\$22K) + property taxes may make itemizing competitive with \$32,200 standard deduction.
Section 179 Expanded to \$2.5M	Phase-out at \$4M	Relevant for construction equipment and business vehicle purchases.
QBI Deduction Permanent	20% deduction for pass-through income	Marda's construction/music income may qualify. Note CO requires addback.
Non-Itemizer Charitable Deduction	\$1,000 single / \$2,000 MFJ	Available if taking standard deduction — discuss with CPA.
Child Tax Credit: \$2,200	Increased from \$2,000, now indexed	Applicable if qualifying children are present.

TCJA Rates Made Permanent	7-bracket structure (10%–37%)	No rate sunset risk for planning.
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Key IRS Publications (For Reference)

PUBLICATION	TOPIC
IRS Pub 587	Business Use of Your Home
IRS Pub 463	Travel, Gift, and Car Expenses
IRS Pub 527	Residential Rental Property
IRS Pub 946	How to Depreciate Property
IRS Pub 560	Retirement Plans for Small Business (Solo 401k)
IRS Pub 969	Health Savings Accounts
IRS Form 8606	Nondeductible IRAs (Backdoor Roth reporting)
Rev. Proc. 2025-32	2026 Tax Year Inflation Adjustments (including OBBBA)

For educational reference only. Verify all limits annually at IRS.gov or with your tax professional. Limits shown are for the 2026 tax year.

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Tax Law Changes: Tax laws change regularly. Information presented reflects understanding as of February 2026 using 2026 IRS limits per Rev. Proc. 2025-32, incorporating OBBBA provisions signed July 4, 2025. Verify current rules with your tax professional.

Professional Consultation Required: Before implementing any strategy discussed in this document, consult with qualified licensed professionals including a CPA, attorney, and/or registered investment adviser who understand your complete financial situation.

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